

Subject Code	AF5346
Subject Title	Entrepreneurial Finance
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Finance (AF5380) / Principles of Corporate Finance (AF5312)
Objectives	This course contributes to the achievement of Program Outcomes by enabling students to understand how to start, build, and harvest successful new ventures, how to apply financial management tools and evaluate venture capital valuation methods, how to navigate interactions with financial institutions and regulatory agencies, how various funding sources and security structures support different venture stages, and how to formulate appropriate exit strategies and harvest planning to provide returns and liquidity for investors.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Understand and evaluate critical business elements to start, build, and harvest a successful new venture; - Understand the tools and techniques of financial management, as well as the types and sources of financial capital and the related investment processes that support different venture stages; - Understand the interactions between ventures and financial institutions and regulatory agencies to take the venture to its potential and provide a return and liquidity for the venture's investors; - Prepare, critique, and present formal business plans; - Demonstrate practical oral and written presentation skills.
Subject Synopsis/ Indicative Syllabus	Introduction Characterize the entrepreneurial process; introduce the fundamental principles of entrepreneurial finance; discuss entrepreneurial finance and the role of the financial manager; explore the various stages of a successful venture's life cycle. Developing the Business Idea Describe the process of moving from an idea to a business plan; identify the components of a sound business plan and the timing of venture success; discuss quantitative criteria that assist in assessing a new venture's feasibility and its ability to attract external financing. Financial Evaluation and Planning Perform operating breakeven analysis and identify major drivers on the amount of revenues needed to survive; describe how financial ratios are used to monitor a venture's performance; identify the measures of profitability and efficiency that are important to the entrepreneur and the equity investors; explain differences in forecasting sales for seasoned firms versus early-stage ventures.

	Venture Capital Valuation Methods Describe how pseudo dividends are incorporated into discounted cash flow equity valuation method; explain the differences between accounting and equity valuation cash flow; Examine and relate various venture capital methods and equity evaluation methods. Professional Venture Capital Explain the professional venture investing cycle; describe the venture capital screening process and list characteristics central to determining a venture capitalist's willingness to invest; discuss the various roles of ventral capitalist can take in providing financing and the services to an emerging venture. Security Structures and Enterprise Values Describe the types of securities often involved in venture financing; discuss the structural considerations involved in designing venture securities; value a venture as a complete enterprise. Exit Strategies and Harvest Planning Plan an exit strategy; discuss the meaning of systematic liquidation; describe the process of going public; identify what investment banking involves. Case Study Students will analyze a venture's business model, financial performance, and strategic decisions throughout its lifecycle. The case provides an opportunity to apply entrepreneurial finance concepts including valuation methods, funding strategies, financial planning, and growth management. Group Project Apply course frameworks to develop, evaluate, and refine business plans; prepare for business plan presentations.
Teaching/Learning Methodology	This course adopts a hands-on approach with practical knowledge in understanding and analyzing entrepreneurial finance concepts across different venture stages. It uses an interactive teaching approach that requires students to participate in group discussions, group presentations, and business case studies. Students should be mindful that active class attendance and prior class preparation for reading assignments are essential for maximizing learning outcomes. Various entrepreneurial finance case studies are used throughout the course for students to appreciate how venture capital valuation methods, funding strategies, and financial planning are managed in real-world situations. Students will apply the frameworks discussed in this course to evaluate different venture scenarios and understand the complete entrepreneurial finance lifecycle (Learning Outcomes a, b, and c). The class projects are divided into two main components: i) develop and present a business plan using course frameworks, and ii) critically evaluate and refine business plans. Both require students to form teams and apply the knowledge acquired from venture capital valuation methods, security structures, exit strategies, and harvest planning concepts covered in this course (Learning Outcomes d and e).

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	
	1. Class Participation	5%	✓	✓	✓	✓	✓	
	2. Individual Assignment	15%	✓	✓	✓	✓	✓	
	3. Group Projects	30%	✓	✓	✓	✓	✓	
	4. Final Examination	50%	✓	✓	✓	✓	✓	
	Total	100 %						
Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Class Participation: attendance and quizzes related to course materials; Individual Assignment: an essay on a selected topic of ventures; Group Project: development and presentation of business plans; Final Examination: a three-hour closed-book exam covering all topics. <i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>								
Student Study Effort Expected	Class contact:							
	▪ Lectures / Seminars			39 Hrs.				
	Other student study efforts:							
	• Students are expected to spend 10 hours on hand-in exercises			10 Hrs.				
	▪ On average, students are expected to spend around 2 hours reading before class			18 Hrs.				
	▪ Students are expected to spend around 80 hours on the group project and in-class presentation			80 Hrs.				
	Total student study effort			147 Hrs.				

Reading List and References	<u>Reference</u> Leach, Chris J., Melicher, Ronald W., Entrepreneurial Finance, 2020. Da Rin, Marco, Hellmann Thomas, Fundamentals of Entrepreneurial Finance, 2020 Rogers, Steven, Entrepreneurial Finance: Business Strategies for the Serious Entrepreneur, 2020. Ries, Eric, The Lean Startup: How Today's Entrepreneurs Use Continuous Innovation to Create Radically Successful Businesses, 2011. Horowitz, Ben, and Kenerly, Kevin, What You Do Is Who You Are: How to Create Your Business Culture, 2019. Hastings, Reed, and Meyer, Erin, No Rules Rules: Netflix and the Culture of Reinvention, 2020. Feld, Brad, Mendelson, Jason, Venture Deals: Be Smarter than Your Lawyer and Venture Capitalist, 2019. Weinberg, Gabriel, Mares, Justin, Traction: How Any Startup Can Achieve Explosive Customer Growth, 2015. Barbarossa, Fabrizio, The Customer Factory: The Evolution of Digital Marketing, 2019. Paulynice, Jean Paul, From Idea to Reality: An Entrepreneur's Guide to Meaningful Business Growth, 2019.
------------------------------------	---